COMMUNICATION DURING FINANCIAL CRISIS

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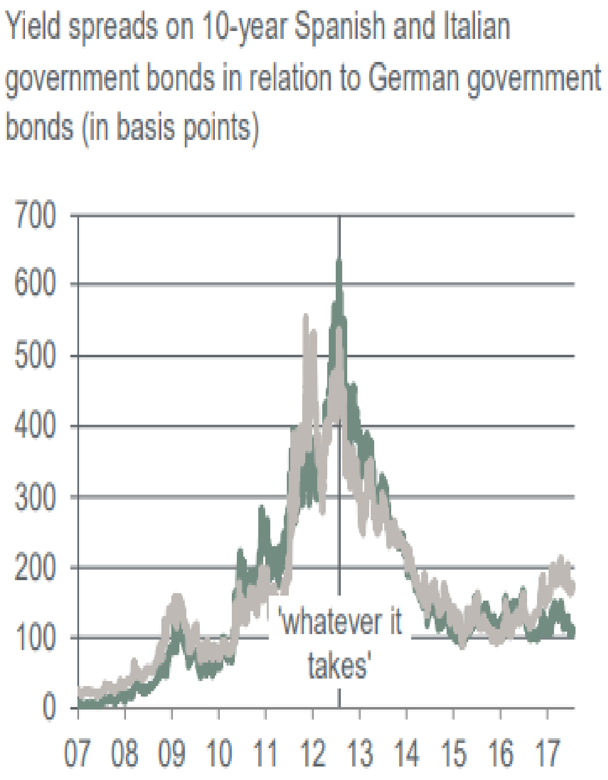
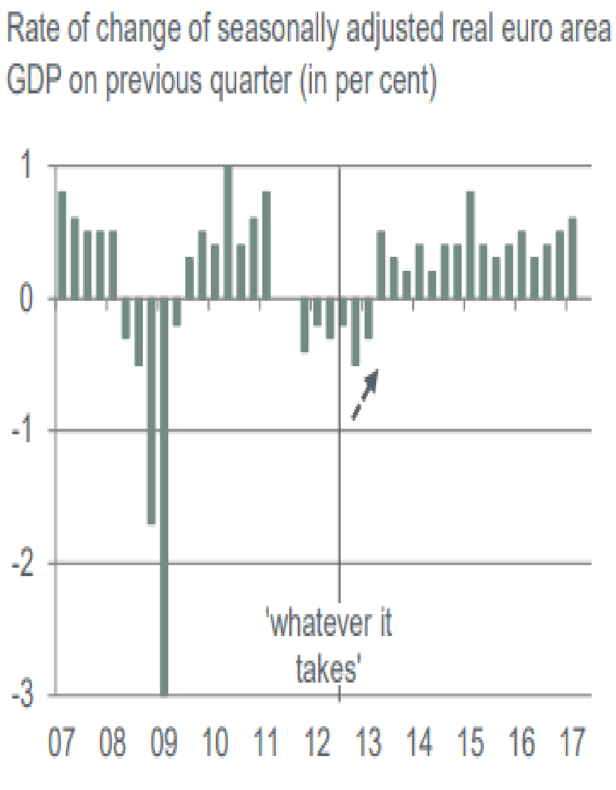
Central Bank Communications through Forward Guidance can move the markets & the yield curves: Draghi's three words that changed the course of the Euro area





- On 26th July 2012, the President of the European Central Bank (ECB), Mario Draghi, delivered a short speech (remarks) at a Global Investment Conference in London that brought the crucial turnaround in the euro crisis. He said, "Within our mandate, the ECB is ready to do **whatever it takes** to preserve the euro. And believe me, it will be enough."
- This was a unique forward guidance that changed the course of the EZ crisis. Financial markets responded immediately. Spreads on the government bonds of peripheral countries dropped back from over 500 bps levels to a manageable 100-200 bps levels (see leftmost chart), This as pe some estimates may have saved well over €200 bn in funding costs to euro area countries. Equity markets also recovered and euro recovered from the large earlier depreciation. Business confidence improved and so helped bring an end to recession in euro area (see left side second chart).
- But the effects to real sector were not seamless and led to increase in cash, leverage & lending to zombie firms

Evolution of Central bank Communication

- Central bank communication has evolved with the central banking itself.
- Changes in Monetary Policy frameworks and operating procedures has had a significant influence on central bank communication
- Transformation in Media technology also has had a profound impact on central bank communication.
- From the deliberate strategy to obfuscate communication in a bid to surprise markets:

  " I know you think you understand what you thought I said but I'm not sure you realize that what you heard is not what I meant" – Alan Greenspan, former Vice Chairman, Fed & Princeton Univ Prof.

- To an era of transparency based on economic rationale for improving transmission and stability to

  "A central bank that speaks with a cacophony of voices may, in effect, have no voice at all" – Alan Blinder

Central Banks have taken recourse to Social Media to buffet their Communications

Central bank	Facebook	LinkedIn	Twitter
Central Bank of Argentina	48,977	126,001	150,003
Reserve Bank of Australia	10,560	113,194	61,301
Central Bank of Brazil	188,659	385,901	446,579
Bank of Canada	n.a.	112,850	215,786
People's Bank of China	n.a.	n.a.	n.a.
Bank of France	14,562	167,749	44,042
Deutsche Bundesbank	8,789	29,286	34,139
Reserve Bank of India	n.a.	n.a.	1,791,333
Bank Indonesia	110,253	n.a.	844,242
Bank of Italy	n.a.	102,544	31,864
Bank of Japan	3,747	n.a.	171,752
Bank of Korea	39,299	1,515	3,333
Bank of Mexico	234,636	n.a.	895,675
Bank of Russia	n.a.	n.a.	18,547
Saudi Central Bank	12,701	155,761	797,799
South African Reserve Bank	41,902	149,730	108,844
Central Bank of the Republic of Turkey	41,778	54,280	490,275
Bank of England	42,113	214,930	370,722
Federal Reserve System	37,590	99,550	995,453
European Central Bank	n.a.	403,098	706,708

Note: The table presents data on the followers on social media platforms of G20 countries as of September 2022. The data is collected from the social media accounts advertised on the official website of these central banks. The European Central Bank is included as the central bank of the European Union. Whenever multiple profiles were advertised in relation to the same platform, the reported data only refers to the most followed account.

Central bank	Joined	Nr of Tweets	of which	Engagement by users	
			Replies (%)	Likes	Retweets
Central Bank of Argentina	May-14	11,734	1	14.04	13.89
Reserve Bank of Australia	Oct-10	2,529	1	8.19	11.77
Central Bank of Brazil	Dec-10	9,079	13	25.95	8.74
Bank of Canada	Jun-08	4,762	0	10.88	10.64
Bank of France	Dec-10	19,282	1	2.57	3.08
Deutsche Bundesbank	Aug-12	5,432	2	3.17	3.32
Reserve Bank of India	Jan-12	17,850	0	25.8	7
Bank Indonesia	Jun-10	39,643	38	14.01	7.71
Bank of Italy	Feb-12	8,249	0	1.96	2.48
Bank of Japan	Oct-11	13,458	0	93.79	37.24
Bank of Korea	Feb-14	2,086	0	1.72	1.41
Bank of Mexico	Oct-09	27,623	0	9.22	9.6
Bank of Russia	Feb-16	4,915	11	3.26	2.84
Saudi Central Bank	Oct-14	3,196	0	43.42	44.12
South African Reserve Bank	Sep-11	4,302	3	19.01	14.94
Central Bank of the Republic of Turkey	Oct-11	5,009	0	35.14	16.6
Bank of England	Jan-09	9,969	20	15.37	15.59
Federal Reserve System	Mar-09	7,823	0	24.06	20.9
European Central Bank	Oct-09	18,070	2	18.3	19.14
Total		215,011	9.28	19.43	12.04

Note: The table presents data on the number of tweets made by G20 central banks as of September 2022, together with the average number of likes and retweets received by their tweets. The data is collected using the Twitter Academic API. The European Central Bank is included as the central bank of the European Union. All retweets made by central bank in reaction to tweets made by other users have been excluded.

Question to think: Is Central Bank Communication too technical and so does not reach the Common Man? Should it be changed?

- Central Bank communications are reaching experts broadly all right and have considerably been buffeted over last three decades
- However, central bank communication to non-experts remain weak and leaves lot to be desired
- Does communication to non-experts matter? Why? … it matters especially because inflation expectations are formed by common man and market expectations are of second order importance
- 3 E's of public communication needed (BoE Staff Paper No.847, Haldane, et al, 2020):

→ Explanation,

→ Engagement

→ Education

Public Communication During Financial Crisis

While each crisis has different origins and unfolds differently, it may be useful to think and follow some key principles in communicating with the public in times of financial stress.

- **Clarity of objectives:** the main objective of communication with the public when there is a high risk of a systemic financial crisis is to transmit confidence with the aim of preventing or ending creditor runs on financial institutions and markets. A communication strategy must be part of a comprehensive policy package to address the underlying problems, not just a delaying tactic.
- **What to communicate:** Who is affected and what is being done: key messages must describe what the issue is, who it affects, and what is being done about it. Policy responses should be linked back to the basic concerns of market participants: is my money safe? Can I conduct normal banking business? Will I have access to funds? Do not leave key questions unanswered.
- **Deliver bad news in clear, definitive, but not alarming terms:** if depositors or other creditors must bear losses, this should be communicated clearly using plain language, explaining why it is necessary, and not be subject to revision (barring major new developments).
- **Communicating problems without solutions will increase uncertainty:** to the extent that identified problems remain unaddressed, incentives for creditors to run will increase.
- **Do not over-promise:** it is important to address the problems that are clearly identified, without saying or implying that there will be no more bad news, if this is still uncertain. E.g, saying that no more banks will fail while conditions remain turbulent may lead to a loss of credibility if even a small, non-systemic failure were then to occur.

Public Communication During Financial Crisis

- **"Speak with one voice":** financial sector authorities have to communicate clearly and consistently, without contradictions or inconsistent messages between different public agencies.
- **Be ready for "media wars":** affected stakeholders may challenge the authorities' representation of events, their policies, or even policymakers as individuals. A strong and unified response must be ready to respond to such attacks.
- **Coordinate:** a comprehensive package of policies and consistent communication through one or few spokespersons requires effective coordination across government and financial agencies as well as flexibility and capacity to respond quickly to emerging developments.
- **Prepare well:** While decisions will have to be made "in the moment" in any crisis, many decisions, materials and processes can be prepared in advance.
- **Communicate in time to forestall crisis: The** aim should be to prevent financial crises as it can have deep scarring on the real economy. As central banks have ready access to timely information, they are uniquely placed to detect and monitor sources of risk and vulnerabilities affecting financial stability. If required, central banks can communicate about the consequences of private sector inaction in managing systemic risks. The timely and robust identification of sources of risk and vulnerabilities is fundamental for an effective financial stability analytical framework. **Financial Stability Reports** are an important means of such communication. FSRs should not underplay or overplay risks & explain the meaning of stress tests clearly.
- **Communication can be backed by action to instill confidence & credibility:** If this proves ineffective, they can activate prudential policy instruments [**use macroprudential measures (MPMs**)] to mitigate such risks before they crystallize and escalate into crises which impair financial intermediation.

How Should Central Banks communicate under present uncertain but evolving global landscape?

Table 1-A: How the FSAP risk scenario compares with previous recessions in Canada

	Decline in real gross domestic product (peak to trough, %)	Duration of recession (consecutive quarters of negative growth)	Peak unemployment rate (%)	Decline in equity prices (peak to trough, %)	Decline in house prices (peak to trough, %)
2025 FSAP risk scenario	-5.1	7	9.2	-36	-26
1990–91 recession	-3.4	4	11.7	-20	-8
2008–09 recession	-4.4	3	8.7	-40	-10
2020 COVID-19 pandemic	-12.7	2	13.5	-22	-4

Note: Calculations were performed using quarterly data. FSAP is the International Monetary Fund's Financial Sector Assessment Program.

The IMF and the BoC collaborated on this stress-testing exercise. The IMF provided the FSAP risk scenario & the BoC analyzed the impact using its Top-Down Solvency Assessment tool. The risk scenario is not a forecast and was not intended to model the impacts of a prolonged trade war, but the findings can still provide insight into the solvency of banks during a major economic shock such as a global trade war.

- **Take recourse to Scenario analysis:** Scenario analysis is a planning and risk management technique that involves evaluating potential future events and their possible outcomes. It explores different "what if" scenarios, considering best-case, worst-case, and most likely outcomes, to assess potential impacts on economy, macro variables, businesses & financial & non-financial firms Building & analyzing scenarios, defining meaningful variables with statical information, developing models and analyzing results is key to scenario analysis.
- **Use Techniques to better capture and analyze uncertainties:** Literature on robust control of monetary policy suggests how to assign weights to different scenarios. **(i) Min-max approach** can be useful, especially to prepare for the worst-case scenarios (Brock et al, 2007 Hansen & Sargent, 2007). **(ii) Bayesian model averaging** could help (Levin Onatsaki & Williams & Williams, 2006, Cogley & Sargent , 2005, Levin McAdam Pearlman 2012). (iii) **Use Fan Charts more in communication rather than central (baseline) forecasts,** (iv) **Use battery of suites of models:** Models are wrong but are all useful (Deak, Levine, Mirza & Pearlman (2025) say optimal within model rules as well as robust rules across models should be used.